

What Do You Mean You Don't Gamble?

College campuses have become a hotbed of financial recklessness. With the advent of easy-to-open online accounts, daredevil sports gambling and on-line day trading is practically a badge of honor among college students. In some cases, students are gambling with their student loans in an attempt to double the value of the loans. In the case of day trading, the risk seems minimal since the stock market has more or less had a continuous climb over the years. But this becomes very risky business when the market dives, or when the latest hot Internet start-up cools down or a hedge fund becomes worthless.

The dangers of gambling are overlooked by reports of students boasting after their tech stock doubled in one day. The more common incidents of stocks tumbling are usually not reported, so it appears that everyone is making money. The sentiment becomes "I would be a fool to not join in."

The first thing Francis checked when he turned on his computer was his stock portfolio. It always cheered him up, no matter how bad his day had been. Francis was in business school working on his MBA at Wharton. He was under a lot of stress since this program was a very demanding and prestigious one and his grades were poor. He found that a good way to reduce his stress and raise his self-esteem was to follow his stock portfolio.

After starting with \$5,000 he had diligently saved from summer jobs, he had pushed this amount up to \$12,000 by trading stocks online. Francis had been able to finance a summer trip to Europe and purchase a new computer through his gains. He thought nothing of picking up the bar tab for his friends when they went out, and they had come to count on it.

Francis's arrogance caused him to start investing in volatile stocks that he knew little about. On a tip from a friend about a medical breakthrough drug, he invested his whole portfolio in one company in order to realize huge profits. He

